

Bonus Act, 1974

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Amending Acts

1. Bonus (First Amendment) Act, 2034 2034.6.6
2. Bonus (Second Amendment) Act, 2039 2039.7.3
3. Bonus (Third Amendment) Act, 2045 2045.6.26
4. Bonus (Fourth Amendment) Act, 2049 2049.7.21

Authentication and Publication Date

2063.7.17

5. Act to Amend Some Nepal Acts for Maintaining Gender Equality, 2063 2063.7.17
6. Act to Strengthen the Republic and Amend Some Nepal Laws, 2066 2066.1.07
7. Act to Amend Some Nepal Acts for Maintaining Gender Equality and Ending Gender Violence, 2072 2072.6.14
8. Act to Amend Some Nepal Acts, 2072 2072.11.13
9. Bonus (Fifth Amendment) Act, 2074 2074.4.29
10. Act to Amend Some Nepal Acts, 2075 2075.11.19

Act No. 20 of the year 2030

An Act Made to Provide for Distribution of Bonus

Preamble: Amended by the Fourth Amendment. Whereas it is desirable to make legal provision regarding distribution of bonus to workers and employees working in establishments,

This Act is enacted by His Majesty King Birendra Bir Bikram Shah Dev with the advice and consent of the National Panchayat. 1. Short Title, Extent and Commencement: (1) This Act may be called the "Bonus Act, 2030".

(2) It shall extend throughout Nepal Omitted by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066..

(3) This Act shall come into operation in respect of the following establishments, on such date as the Government of Nepal may, by notification in the Nepal Gazette, specify, and in such area as may be specified: This Act is specified to come into operation from the date of 2031.4.7 in the Mechi Zone, Morang, Biratnagar and Sunsari of Koshi Zone, Saptari of Sagarmatha Zone, Bara, Parsa, Rautahat and Makwanpur of Narayani Zone, Dhanusha of Janakpur Zone, Bagmati Zone, Lumbini Zone and Bheri Zone.

(a) in which ten or more persons are employed or were employed on any date within one month prior to the date of commencement of this Act or on the date of such commencement, or

(b) Omitted by the Fourth Amendment

2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) Omitted by the Fourth Amendment

Amended by the Fourth Amendment. (b) "Establishment" means an establishment as per clause (ja) of section 2 of Amended by the Act to Amend Some Nepal Acts, 2075.the Labour Act, 2074.

Added by the First Amendment. (ba) "Establishment owned by the Government of Nepal" means an establishment in which the Government of Nepal holds full or majority shares, and the term also includes an establishment in which such establishment holds full or majority shares. (c) "Fiscal Year" means, in relation to any establishment, Omitted by the Fourth Amendment for the purpose of final audit of its income and expenditure, a period of one year commencing from any one day of any one year. Provided that, if not so specified, it means a year commencing from Shrawan Sankranti and ending at the end of Ashad. Amended by the Fourth Amendment. (d) "Employee" means a person employed in an establishment for supervisory, administrative, technical or any other work for salary or wages, and the term also includes a worker working in the establishment. (e) "Salary or Wages" means any kind of remuneration payable in cash to an employee for work done in any establishment, Omitted by the Fourth Amendment Provided that the term shall not include any other amount receivable by an employee on account of electricity, water, medicine, travel, bonus, provident fund or gratuity Omitted by the Fourth Amendment Amended by the Fourth Amendment. (ch) "Manager" means a manager as per clause (da) of section 2 of Amended by the Act to Amend Some Nepal Acts, 2075.the Labour Act, 2074. (cha) "Department of Labour" means the Department of Labour of the Government of Nepal. Amended by the Fourth Amendment. (ja) "Labour Office" means a labour office established by the Government of Nepal. Added by the Fourth Amendment. (jaa) "Labour Court" means the Labour Court constituted under section 151 of Amended by the Act to Amend Some Nepal Acts, 2075.the Labour Act, 2074. (jha) "Prescribed" or "as prescribed" means prescribed or as prescribed by the rules made under this Act. 3. Branch or Sub-branch Deemed Part of Establishment for Purpose of Bonus Calculation: For the purpose of calculating bonus under this Act, any branch or sub-branch of an establishment located in different places shall be deemed to be part of the same establishment. 4.

Balance Sheet to be Sent to Labour Office: (1) The manager of every establishment shall prepare the balance sheet and profit and loss account of such establishment in accordance with the Companies Act, 2063, and send them to the Labour Office within six months of the end of the fiscal year. (2) If a complaint is lodged with evidence that the balance sheet and profit and loss account submitted under sub-section (1) are Amended by the First Amendment.false, the Labour Office may exercise all powers regarding the inquiry and investigation of the matter as if it were the concerned department under the Companies Act, 2063. 5. Profit-Making Establishment to Distribute Bonus: (1) Every profit-making establishment shall set aside an amount equal to ten percent of the net profit made in a fiscal year as bonus for employees. (2) While determining the net profit made by an establishment in any fiscal year under sub-section (1), the following amounts shall also be deducted from the net income determined under section 12 of Amended by the Act to Strengthen the Republic and Amend Some Nepal Laws, 2066.the Income Tax Act, 2058: - (a) Omitted by the Act to Amend Some Nepal Acts, 2075 (b) Omitted by the Second Amendment (c) The amount of bonus distributed in excess under sub-section (3) of section 11. Amended by the Fifth Amendment. (3) Notwithstanding anything contained in sub-section (1), the percentage of bonus to be set aside from the net

profit made in each fiscal year by an establishment owned by the Government of Nepal shall be as prescribed. Added by the Fifth Amendment. (3a) Notwithstanding anything contained in sub-sections (1) and (3), an establishment owned by the Government of Nepal, established for the promotion of any sector without the objective of making profit, shall not be entitled to distribute bonus.

Added by the Fifth Amendment. (3b) Notwithstanding anything contained in sub-sections (1) and (3), an establishment owned by the Government of Nepal may distribute bonus only in the following circumstances: -
(a) The amount recorded as expenditure on an accrual basis must have been paid within the next fiscal year,
(b) The amount for contingent liabilities of each fiscal year must be determined, and the amount so determined must be deposited by creating a separate fund, (c) If any loan has been taken from the Government of Nepal or with the guarantee of the Government of Nepal, such loan amount must have been repaid in accordance with the payment schedule mentioned in the deed made at the time of taking the loan.

Added by the Fifth Amendment. (3c) Matters relating to bonus distribution other than those mentioned in this Act and the rules made under this Act shall be as decided by the Government of Nepal. (4) Repealed by the Fourth Amendment 6. Condition for Receiving Bonus: (1) An employee who has worked for half of the period required to work in any fiscal year shall be entitled to receive bonus under this Act. Added by the First Amendment. Provided that an employee working casually or on a substitute basis shall not be entitled to bonus. (2) For the purpose of sub-section (1), the following periods shall also be counted as periods during which the employee worked: - Amended by the Fourth Amendment. (a) Period of being on reserve under any agreement or under section 15 of Amended by the Act to Amend Some Nepal Acts, 2075.the Labour Act, 2074. (b) Period of being on any kind of paid leave, (c) Period of disability due to accident in the course of the establishment's work. 7. Amount Receivable as Bonus and Its Determination: (1) The manager shall determine the percentage of the bonus amount an employee may receive in a fiscal year in accordance with sub-section (2). (2) While determining the percentage of the bonus amount an employee shall receive under sub-section (1), the amount set aside for bonus distribution for the relevant fiscal year in the establishment shall be multiplied by one hundred, and the resulting figure shall be divided by the total amount of salary or wages received by the employees determined to be entitled to bonus in that fiscal year; the quotient figure shall be deemed to be the bonus percentage.

Amended by the Act to Amend Some Nepal Acts, 2075. (3) Notwithstanding anything contained in sub-section (2), the bonus receivable by an employee shall not exceed the following amount: -

(a) For an employee receiving monthly salary or wages up to double the minimum remuneration fixed by the Government of Nepal, an amount equal to eight months' salary or wages,

(b) For an employee receiving salary or wages higher than clause (a), an amount equal to six months' salary or wages. Added by the Fourth Amendment. (4) The minimum bonus amount receivable under clause (b) of sub-section (3) shall not be less than the maximum bonus amount under clause (a)

8. Prohibition on Receiving Bonus: Notwithstanding anything contained in section 6, an employee who has been punished or dismissed from service for doing any of the following acts shall not be entitled to receive bonus under this Act Omitted by the Fourth Amendment

Provided that this section shall not be deemed to have any adverse effect on the bonus payable for the period prior to the act causing such punishment.

(a) Omitted by the Fourth Amendment stealing property of the establishment or causing any damage to such property,

(b) Engaging in an illegal strike or encouraging others to engage in such a strike,

(c) Engaging in a riot or committing an act of indiscipline. 9. Form of Bonus and Period for Distribution: (1) The bonus distributed under this Act shall be given in cash.

(2) Bonus shall be distributed within eight months of the end of the fiscal year.

(3) If a manager submits an Amended by the Fourth Amendment.application to the Labour Office stating the reason for inability to distribute bonus within the period under sub-section (2), and if the reason is found reasonable, the Labour Office may grant approval either by extending the period by a maximum of three months or by allowing the distribution of bonus for two years together in the next fiscal year. 10. Giving Bonus to Representative or Family Members: (1) An employee who is unable to appear personally to receive bonus may give a letter of authority to any person to receive the bonus on his/her behalf.

Amended by the Act to Amend Some Nepal Acts for Maintaining Gender Equality and Ending Gender Violence, 2072. (2) If an employee dies, the bonus receivable by him/her shall be received by the person bequeathed by him/her, and if no person has been so bequeathed, or if the bequeathed person has also died before the death of the bequeathing person, then by the heir according to the prevailing law on intestate succession. (3) A person dissatisfied with the distribution of bonus under sub-section (2) may lodge a complaint in the Amended by the Fourth Amendment.Labour Court within thirty-five days from the date of such distribution, and the decision of such Amended by the Fourth Amendment.Labour Court shall be final. 11. Bonus May be Distributed as Advance: (1) If an establishment is unable to send the balance sheet and profit and loss account within the period under sub-section (1) of section 4, or if bonus cannot be distributed within the period under section 9 due to Amended by the First Amendment.the concerned Labour Office conducting an inquiry and investigation regarding the balance sheet and profit and loss account submitted under sub-section (2) of section 4, the manager of such establishment shall distribute at least five percent bonus as a rough estimate of the net profit likely to accrue. (2) If the amount of bonus distributed under sub-section (1) is less than the amount determined to be distributed as bonus after the balance sheet and profit and loss account are subsequently prepared or finally settled, the amount of such shortfall shall be distributed again to the employees on a pro-rata basis. (3) If the bonus distributed under sub-section (2) exceeds the amount determined to be distributed as bonus, the amount of such excess bonus may be recovered in the next fiscal year. 12. Deduction of Bonus: Subject to section 6, an employee who does not work for the full number of days required to work in any fiscal year shall receive the balance amount after deducting a proportionate amount of bonus for the days not worked. Added by the Second Amendment. 12A. Bonus for Period of Illegal Strike: If an employee engages in an illegal strike in a factory or establishment, the bonus for the days of such illegal strike shall be deducted proportionately, and the employee shall receive bonus only for the remaining days. Amended by the Fourth Amendment. 13.

Welfare Fund: (1) Out of the amount remaining after distributing bonus from the amount set aside as bonus under section 5, seventy percent shall be deposited in a welfare fund established Amended by the Act to Amend Some Nepal Acts, 2075.under the prevailing law, and the remaining thirty percent shall be deposited in a national-level welfare fund established by the Government of Nepal for the welfare of employees of the establishment. Added by the Fifth Amendment. (1a) Notwithstanding anything contained in sub-section (1), out of the amount remaining after distributing bonus from the amount set aside as bonus under section 5 by an establishment owned by the Government of Nepal, twenty percent shall be deposited in a welfare fund established Amended by the Act to Amend Some Nepal Acts, 2075.under the prevailing law, and the remaining eighty percent shall be deposited in a national-level welfare fund established by the Government of

Nepal for the welfare of the establishment. (2) The operation of the welfare funds under sub-section (1) shall be as prescribed, with the participation of employees. 14. Details to be Sent to Department of Labour: Within seven days of the completion of bonus distribution, the manager of every factory and establishment shall send a statement to the Labour Office in the prescribed format. 15. Maintaining Records and Accounts: Records of bonus distributed under this Act and other related accounts shall be maintained as prescribed. Amended by the Fourth Amendment. 16. Settlement of Bonus-Related Disputes: (1) If any dispute arises between an employee and the manager regarding the bonus to be distributed under this Act, the Labour Office shall resolve such dispute through negotiation involving both parties. (2) If the dispute cannot be resolved through negotiation under sub-section (1), the Labour Office may require the concerned establishment and employees to submit necessary documents and accounts, and make a decision based thereon. (3) A party dissatisfied with the decision made by the Labour Office under sub-section (2) may appeal to the Labour Court within 35 days from the date of receipt of notice thereof, and the decision of the Labour Court shall be final. 17. Repealed by the Fourth Amendment 18. Repealed by the Fourth Amendment 19. Repealed by the Fourth Amendment Amended by the Fourth Amendment. 20.

Penalty: The Department of Labour may impose a fine of up to five thousand rupees on any person who violates this Act or an order given under the rules made under this Act. Amended by the Fourth Amendment. 21. Appeal: A party dissatisfied with the order imposing a fine under section 20 of this Act may appeal to the Amended by the Act to Amend Some Nepal Acts, 2072.High Court within thirty-five days from the date of receipt of notice thereof. 22. Repealed by the Fourth Amendment 23. Liability of Manager: In respect of any offence punishable under this Act committed by an establishment Omitted by the Fourth Amendment , the person acting as the manager of such establishment Omitted by the Fourth Amendment at the time of the commission of such offence shall be liable to the punishment under this Act. Provided that a manager who proves that such offence was committed without his/her knowledge or consent shall not be liable to punishment under this section. 24. Protection of Acts Done in Good Faith: No legal proceedings shall lie against the Government of Nepal or any employee of the Government of Nepal in respect of any act done or intended to be done in good faith under this Act or the rules made under this Act. 25. Power of Government of Nepal to Remove Difficulties: If any difficulty arises in implementing this Act, the Government of Nepal may, by notification in the Nepal Gazette, issue necessary orders to remove such difficulty, provided that such orders do not adversely affect the purpose of this Act. 26. Repealed by the Fourth Amendment 27. Power to Make Rules: The Government of Nepal may make rules for the purpose of implementing this Act. 28. Saving: Matters provided for in this Act or the rules made under this Act shall be regulated accordingly, and other matters shall be regulated by the prevailing Nepal law.